

EMPLOYEE VS CONTRACTOR CHECKLIST

IRS & California ABC Test Classification Guide

CLASSIFICATION CHECKLIST FOR BEAUTY PROFESSIONALS

THE J FORMULA LEGAL VAULT

WHY THIS MATTERS

Misclassifying a worker as an independent contractor when they should be an employee can result in:

- Back taxes, penalties, and interest from the IRS
- State tax penalties and unemployment insurance payments
- Lawsuits for unpaid overtime, benefits, and workers' comp
- Fines up to \$50 per W-2 that should have been filed
- Criminal penalties in egregious cases

Getting this right protects both salon owners and stylists.

THE IRS THREE-FACTOR TEST

The IRS looks at three main categories to determine worker classification:

1. BEHAVIORAL CONTROL

Does the business control how the work is done?

| Factor | Employee | Independent Contractor |

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| Work schedule | Business sets hours | Worker sets own hours |

| How work is done | Business provides detailed instructions | Worker uses own methods |

| Training | Business provides training | Worker has own skills/training |

| Tools/equipment | Business provides | Worker provides own |

| Where work is done | Business dictates location | Worker chooses location |

| Order of tasks | Business sequences work | Worker decides sequence |

| Evaluation | Based on how work is done | Based on end result |

2. FINANCIAL CONTROL

Does the business control the financial aspects?

| Factor | Employee | Independent Contractor |

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| Investment | Little to none in equipment | Significant investment |

| Expenses | Business reimburses | Worker bears own expenses |

| Profit/Loss opportunity | No real opportunity | Can profit or lose money |

| Services to others | Works for one business | Markets to multiple clients |

| Payment structure | Regular wage/salary | Per job or commission |

| Setting prices | Business sets prices | Worker sets own prices |

3. TYPE OF RELATIONSHIP

What is the nature of the working relationship?

| Factor | Employee | Independent Contractor |

|-----|-----|-----|

| Written contract | Employment agreement | Contractor agreement |

Benefits	May receive benefits	No benefits
Permanency	Ongoing, indefinite	Project-based or terminable
Business integration	Work is key to business	Provides supplemental service
Tax forms	W-2	1099-NEC

SALON/BEAUTY INDUSTRY CHECKLIST

Use this checklist to evaluate whether someone is likely an employee or independent contractor in your salon:

SCHEDULE & HOURS

Question	If YES, likely...
Does the salon set required working hours?	Employee
Must they work specific days (e.g., Saturdays)?	Employee
Can they set their own schedule entirely?	Contractor
Can they turn down appointments?	Contractor
Do they work only when they choose to?	Contractor

Your situation:

& Salon sets schedule = EMPLOYEE indicator
& Worker sets own schedule = CONTRACTOR indicator

CLIENTS & BOOKING

Question	If YES, likely...
Does the salon assign clients to them?	Employee
Does the salon control the booking system?	Employee
Can they bring/keep their own clients?	Contractor
Do they market themselves independently?	Contractor
Can they take their clients if they leave?	Contractor

Your situation:

& Salon controls client relationships = EMPLOYEE indicator
& Worker has own clientele = CONTRACTOR indicator

PRICING & PAYMENT

Question	If YES, likely...
Does the salon set service prices?	Employee
Are they paid hourly or salary?	Employee
Do they set their own prices?	Contractor
Are they paid per service/commission only?	Contractor
Do they collect payment directly from clients?	Contractor
Do they pay booth rent?	Contractor
Can they profit or lose money?	Contractor

Your situation:

& Salon sets prices, pays wages = EMPLOYEE indicator
& Worker sets prices, pays rent = CONTRACTOR indicator

TOOLS, PRODUCTS & SUPPLIES

Question	If YES, likely...

Does the salon provide tools (dryers, shears, etc.)?	Employee
Does the salon provide products at no cost?	Employee
Does the salon provide a uniform?	Employee
Does the worker buy their own tools?	Contractor
Does the worker buy their own products?	Contractor
Has the worker made significant investment?	Contractor

Your situation:

& Salon provides tools/products = EMPLOYEE indicator
& Worker provides own tools/products = CONTRACTOR indicator

TRAINING & SUPERVISION

| Question | If YES, likely... |

|-----|-----|

Does the salon provide ongoing training?	Employee
Does the salon supervise their techniques?	Employee
Does the salon evaluate their performance?	Employee
Does the salon require specific methods?	Employee
Does the worker use their own techniques?	Contractor
Is the worker already a trained professional?	Contractor
Is work judged by result, not method?	Contractor

Your situation:

& Salon trains/supervises = EMPLOYEE indicator
& Worker uses own professional judgment = CONTRACTOR indicator

BUSINESS RELATIONSHIP

| Question | If YES, likely... |

|-----|-----|

Do they receive benefits (health, PTO, etc.)?	Employee
Is this their only/primary work?	Employee
Is the relationship indefinite?	Employee
Do they have a written contractor agreement?	Contractor
Do they work for multiple salons/clients?	Contractor
Do they have their own business license?	Contractor
Do they have their own business insurance?	Contractor
Do they advertise their own services?	Contractor

Your situation:

& Single employer, receives benefits = EMPLOYEE indicator
& Multiple clients, own business = CONTRACTOR indicator

SCORING YOUR SITUATION

Count your indicators:

EMPLOYEE Indicators: _____ out of 8 categories

CONTRACTOR Indicators: _____ out of 8 categories

Interpretation:

Mostly EMPLOYEE indicators:

This worker should likely be classified as an employee. You should:

- Issue W-2, not 1099
- Withhold payroll taxes
- Provide workers' compensation

- Pay employer portion of FICA
- Consider benefits eligibility

Mostly CONTRACTOR indicators:

This worker may legitimately be an independent contractor. Ensure you have:

- Written independent contractor agreement
- W-9 on file
- Proof of their own business license (if required by state)
- Proof of their own liability insurance
- Issue 1099-NEC if paying \$600+ annually

Mixed indicators:

This is a gray area. The more factors pointing to employee status, the riskier it is to classify as a contractor. Consult with an employment attorney or CPA.

STATE-SPECIFIC RULES

& p IMPORTANT: Some states have stricter rules than the IRS:

California (AB-5): Uses the "ABC Test" — very strict. Assumes worker is employee unless ALL of these are true:

- A: Free from control in performing work
- B: Work is outside usual course of business
- C: Worker has independent business/trade

Other strict states: New Jersey, Massachusetts, Illinois

Check your state's rules! State law may be more stringent than federal law.

RED FLAGS FOR SALON OWNERS

You may be at risk of misclassification if:

- & You require "contractors" to work specific hours
 - & You set the prices for "contractor" services
 - & You assign clients to "contractors"
 - & You provide products/tools at no charge
 - & Your "contractors" wear a salon uniform
 - & Your "contractors" can't work elsewhere
 - & Your "contractors" don't have their own client base
 - & Your "contractors" have no business license
 - & You have no written contractor agreements
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WHAT TO DO IF YOU'RE UNSURE

- **Document everything** — Keep records of your arrangement
 - **Get written agreements** — Use proper contractor agreements
 - **Consult professionals** — Employment attorney, CPA
 - **File IRS Form SS-8** — Request IRS determination (but this can trigger audit)
 - **Consider reclassification** — If in doubt, employee status is safer
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RESOURCES

- IRS Publication 15-A: Employer's Supplemental Tax Guide
- IRS Form SS-8: Determination of Worker Status
- Your state's labor department website
- Your state's board of cosmetology
- A qualified employment attorney

This checklist is provided for informational purposes only and does not constitute legal advice. Worker classification is a complex area of law with significant consequences. Consult with a licensed attorney and/or CPA in your state for guidance specific to your situation. © The J Formula

SIGNATURES

Party 1 Signature: _____

Printed Name: _____

Date: _____

Party 2 Signature: _____

Printed Name: _____

Date: _____

